WALNUT CREEK PLANNING COMMISSION
STAFF REPORT

AGENDA: May 28, 2020 ITEM NO. 4c.

ORIGINATED BY: COMMUNITY AND ECONOMIC DEVELOPMENT DEPARTMENT – PLANNING

Day/Date/Time Place	Thursday, May 28, 2020, at 7:00 p.m. Meeting held exclusively via teleconference: Zoom Meeting ID: 911 3897 3626 / Login Password: 603879
Project Name Application Type & App. #	Hannah Trust/Adib Building Mixed Use Addition Pre-Application Review Application No. Y19-124
Project Location	1426 South Main Street, Walnut Creek APN 183-030-005
Project Description	Prior to preparing more detailed plans and required reports, the applicant is seeking preliminary feedback on potential residential units, a proposed parking reduction and request for offsite parking, and an exception to the required 25-foot average front setback associated with a conceptual proposal to add 3,216 square feet of commercial ground floor area and two residential units on the second floor of the addition. The subject property is located within Specific Plan No. 7 (South Newell Avenue), which conditionally allows residential development. The parking reduction would apply to the existing retail establishment which the applicant characterizes as a low parking demand land use.
Zoning General Plan	Central Retail (C-R) General Retail (GR)
CEQA	To Be Determined
Applicant Owners	Hamed Adibnatanzi 1 Sansome Street, Suite 3500 San Francisco, CA 94104 Hanna Trust/Adib's Persian Rugs Inc. 1426 South Main Street Walnut Creek, CA 94596
Staff Contact	Alan B. Carreon, Associate Planner (925)943-5899 x2210 carreon@walnut-creek.org

STATEMENT OF ISSUES:

The applicant is seeking preliminary feedback on a conceptual development consisting of a 3,216 square-foot commercial floor area addition and two residential units on the upper floor of the two-story addition. Prior to preparing more detailed reports and plans, the applicant is seeking Planning Commission comments on a proposed parking reduction and request for offsite parking, and an exception to the required 25-foot average front setback from South Main Street. The subject property abuts Las Trampas Creek and is located within Specific Plan No. 7 (South Newell Avenue), which conditionally allows residential development. The parking reduction would apply to the existing retail establishment, which the applicant characterizes as a low parking demand land use.

STAFF RECOMMENDATION:
Staff recommends that the Planning Commission review the proposed project and provide feedback to the applicant regarding the potential for residential development, requested parking reduction and off-site parking, and a proposed exception to the required 25-foot average front setback along South Main Street.

SITE AND PROJECT DESCRIPTION:
Site: The 0.51-acre (22,137 square feet) project site is on the east side of South Main Street, approximately 130 feet south of its intersection with Newell Avenue. The property contains 16 parking stalls and a one-story, 3,727 square-foot building constructed in 1957. According to the plans, three additional parking stalls are partially located on an adjacent property and maintained under a contractual agreement. The surrounding land uses include multi-tenant food and retail shops with offices above to the north and personal services uses to the south. Driveways on each side of the subject property are shared by these properties. To the east, the site abuts a small portion of Las Trampas Creek and across South Main Street is the Kaiser Permanente Medical Center. A vicinity map and aerial image are provided as Attachments 1 and 2, respectively.

Vehicular access to the site is shared with adjoining properties. The south driveway is provides one-way access to both the project site and 1432 South Main Street whose rear parking areas circulate counter-clockwise and clockwise, respectively. The north driveway is shared with the rear of retail, service, and offices uses fronting Newell Avenue, although both developments have parking areas along that street. Photos of the site and vicinity are provided as Attachment 3 and additional photos are shown on Sheet A1 of the project plans (Attachment 7).

Project:
The applicant is seeking preliminary feedback on a concept to develop a two-story addition between the existing building and the South Main Street frontage within the required 25-foot average setback. The ground floor would be a 3,216 square-foot expansion of Adib's Persian Rugs and the second story would consist of two new residential units consisting of one two-bedroom unit and one three-bedroom unit. Specifically, the applicant would be requesting a reduction in required parking from 32 stall stalls to 21 stalls citing that the use, the sales of specialty ornamental rugs, requires significant inventory and generates a much lower parking demand than other types of retail establishments. Three parking stalls would be located off-site on the adjoining property to the north. The applicant's parking study is provided as Attachment 5. The applicant is seeking Planning Commission comment on the inclusion of residential uses, which are conditionally permitted by South Newell Avenue Specific Plan No. 7 (Attachment 6).

GENERAL PLAN CONSISTENCY AND CODE COMPLIANCE:
General Plan: The site is designated General Retail (GR) which is intended for one-stop-shop businesses that rely on customers arriving by auto and provide on-site parking. Uses include discount merchandise stores, financial institutions, hardware stores, hotels, nurseries, restaurants, and shopping centers. Ground floor retail is encouraged; offices may be allowed on the second floor or, in this case, residential units per the South Newell Avenue Specific Plan which was adopted in 1978.

The proposed total commercial floor of 6,943 square feet would result in a floor area ratio (FAR) of 0.31 and comply with the 0.60 commercial FAR limit applicable to the property. The residential unit floor areas are excluded from the FAR limit in this zone. The conceptual building addition would be 35 feet at its top elevation and comply with the site height limit.

The conceptual building is proposed with the required 10-foot wide sidewalk and the building sited at the South Main Street right-of-way line whereas the Figure 4-11 of the General Plan requires a 20- to 30-foot front setback with an average of 25 feet. The intent of the average setback is to provide visual spatial relief and to encourage, pedestrian plazas, courtyards, seating areas, public art, landscaping, and/or similar public amenities. The design and use of the additional setback area is determined on a case-by-case basis as new developments are proposed. Pursuant to language on Page 4-18 of the General Plan, the setback requirement may be waived or reduced in cases of unusual street or parcel configuration or where such setbacks would be undesirable. The applicant posits the effect of required front setback in combination with the creek setback (further discussed in the Analysis section below) shown on Sheet A2 of Attachment 7, unduly burdens reasonable development of the subject property as well as other adjoining parcels with similar characteristics.

Specific Plan No. 7 (South Newell Avenue, 1978): This specific plan was promulgated out of the 1975 Core Area Plan, which was intended to serve as a broad policy and recommendations guide in the Core Area for public improvements, private development, development standard revisions, design considerations, and public amenities. Largely implemented through various adopted documents such as the General Plan, Zoning, and Design Guidelines, specific restrictions, guidelines, and required conditions of development from the specific plan are as follows:

1. Creek Preserve Area shall generally remain in a natural condition.
2. Existing parking lots shall not be increased within the Creek Preserve Area.
3. Structures within Creek Preserve Area that enhance and do not alter natural landforms or vegetation and enhance the creek are permitted, subject to specific approval by Planning Commission.
4. …to clean up those portions of the creek which are located on their property and to enter into a maintenance agreement that requires the subject are to be kept in a clean and natural condition.
5. … to either aggregate driveway locations or to provide information acceptable to the Planning Commission as to why it is not feasible to do so.
6. Whenever possible, new development should orient towards the creek as the central focus and amenity of the Specific Plan area.
7. To encourage retail and residential uses rather than offices.

The conceptual project proposes no modifications to or encroachment upon the creek. The conceptual project would not expand but alter the existing parking area for efficiency. The

applicant is not proposing to aggregate the driveways since they are already shared with the adjoining properties.

Zoning: The site is zoned Central-Retail (C-R), which allows allow a mix of commercial development in the Core Area, on a scale that is less intensive than development in the central pedestrian retail area. The intent is to encourage a wide variety of retail establishments along with some limited office development. The existing retail use is consistent with the C-R designation. The proposed residential portion of the project is consistent with Ordinance 2145 which was adopted by the City Council in 2016 to allow residential uses in commercial areas only where allowed by adopted specific plans, mixed use zoning districts, or where at least 90 percent of the units are approved as affordable housing.

Parking: Retail uses are required to provide one parking stall per 250 square feet of rentable floor area. The use currently requires 15 stalls and complies with 16 on-site stalls plus three off-site stalls secured through a private contract with the adjoining property owner. The off-site stalls are not currently associated with any City-issued authorization. The conceptual project would require a total of 32 parking stalls – 28 stalls for the expanded retail use and a total of four stalls for the two residential units.

Pursuant to Section 10-2.3.203 (Minor Use Permit-Parking Reduction), applicants may request approval of a Minor Use Permit (MUP) for a parking reduction and/or shared parking. Issuance of a MUP would be based on clear and convincing evidence and survey data that the probable long-term occupancy of the building, based on its design, will not generate additional parking demand. The request for off-site parking includes findings related to circulation safety, peak time demands of uses, and remedies if the off-site parking becomes unavailable. The Zoning Administrator typically reviews MUP applications for parking reduction and off-site parking request applications, but refers the request(s) when other discretionary action is required of the Planning Commission.

ANALYSIS:

Residential Use

While current City policy and regional interests cite the need for housing, staff believes the concept to include two residential units, a conditionally permitted use on this site, would only exacerbate the project's parking deficiency. For this reason, staff believes that the commercial portion of the project can be more flexible in terms of potential land uses than the residential portion with its perpetual dedication of four parking stalls for residents. Staff recommends the Planning Commission consider and provide feedback on the inclusion of residential units in light of the resulting deficiency in required parking.

Parking Reduction/Offsite Parking

The conceptual expansion of the commercial use would require 28 parking stalls, whereas the project plans identify a total of 21 stalls - 18 on-site and three off-site. The resulting parking deficiency is seven stalls if only the commercial floor area were expanded versus 11 parking stalls if the residential units were included. The maximum parking reduction allowed by the Zoning Ordinance is 20 percent for each use classification. Therefore, the maximum reduction

for the retail sales area is six stalls (20% of 28) and the residential portion a reduction of one stall (20% of 4). The applicant is proposing a reduction of 34 percent, assuming the off-site stalls are accepted. Granted, the residential units could be occupied by residents who are less vehicle-dependent given the site's proximity to local goods and services, but it is not guaranteed. According to the applicant's parking study the two uses would be complimentary, as residential uses would have a peak hour parking requirement offset from this particular retail use.

The applicant's parking study cites that the character and operation of the existing retail use, the sales and service of specialty rugs of all sizes, generates very low customer volume and is over-parked for much of the business day. Staff supports the study's conclusion that Adib's Rugs does not generate a parking demand equivalent to one stall per 250 square feet as required City ordinance. Based on its character of operation, staff believes Adib's Rugs operates more like a furniture showroom or mattress store where inventory occupies a larger space than a typical retail use and that the business is destination-oriented. Rather, the study indicates the effective parking ratio is one stall per 532 square feet and that 13 stalls would be adequate to meet its conceptual expansion and operational needs. Staff believes a reduction in commercial parking can be supported for this particular use, but the project would have to exclude the residential units and provide a total of 22 stalls, one more than currently shown on the plans, in order to comply with the maximum allowable reduction of 20 percent permitted by the Zoning Ordinance.

While the current and potentially proposed parking supply may be considered adequate, the longer-term issue will be a parking deficiency if a more traditional retail use(s) occupies this commercial space. Staff recommends the Planning Commission provided feedback to the applicant on the requested parking reduction and offsite parking.

Driveway Aggregation
The project site already aggregates driveways by sharing the one-half of the two-way south driveway aisle. The north driveway is almost entirely located on the project site but provides access via an easement for the rear parking areas of the adjoining retail and office uses to the north. The subject property provides the inbound lane. It does not appear further aggregation of the driveways is possible without cooperation of the adjoining property owners.

Front Setback Exception
Staff believes there are grounds to consider an exception to the 25-foot setback required by the General Plan. The subject property, as well as other properties on east side of South Main Street, are subject to a "Creek Preserve Area," which is the horizontal distance 50 feet from the creek centerline. More critically, the Contra Costa County Flood Control District (CCCFCD) requires a more restrictive 30-foot structural setback from a line projected at a 2.5:1 slope from the toe of the creek. As a result, approximately one-third of the existing building is located within the structural setback. Some nearby properties would not be allowed any new floor area due to the combined effect of the 25-foot average front setback and the CCCFCD structural setback applied from the rear.

It appears new commercial floor area on the subject site could be added if it were within the buildable area at the northwest corner of the property. However, a financially feasible addition with or without the proposed residential units, would likely encroach within the required setback, but at a lesser distance than the currently proposed two-story addition at the property frontage. Staff and the applicant request the Planning Commission provide comment whether an exception to the 25-foot average front setback can be considered in light of the Creek Preserve Area of Specific Plan No. 7 and the structural setback required by the flood control district.

Next Steps
Based on the feedback and comments provided by the Planning Commission on the applicant's request for a pre-application review, the applicant will evaluate aspects of the conceptual project and decide whether to prepare required plans and reports for a formal development review application.

Environmental Review
Pre-application reviews and comments are preliminary and non-binding. Therefore such actions are not classified as a "Project" under the California Environmental Quality Act (CEQA). Staff will conduct an initial study and prepare the appropriate documents should the applicant decide on proceeding with a formal development project.

COMMISSION ACTION REQUIRED:
Staff recommends the Planning Commission provide comment and feedback to the applicant concerning the conceptual project.

ATTACHMENTS:
1. Vicinity Map
2. Aerial Image
3. Site Photographs
4. Off-site Parking Agreement
5. Parking Study, February 2020 - TJKM Consultants
6. Specific Plan No. 7: South Newell Avenue
7. Response to Comments & Conceptual Project Plans

Prepared by: Alan B. Carreon, Associate Planner